

5

When to Buy

The preceding chapters attempted to show that the heart of successful investing is knowing how to find the minority of stocks that in the years ahead will have spectacular growth in their per-share earnings. Therefore, is there any reason to divert time or mental effort from the main issue? Does not the matter of when to buy become of relatively minor importance? Once the investor is sure he has definitely found an outstanding stock, isn't any time at all a good time to buy it? The answer to this depends somewhat on the investor's objective. It also depends on his temperament.

Let us take an example. With the ease of hindsight it can be made the most extreme example in modern financial history. This would be the purchase of several superbly selected enterprises in the summer of 1929 or just before the greatest stock market crash of American history. In time such a purchase would have turned out well. But twenty-five years later it would provide a much smaller percentage gain than would have been the case if, having done the hardest part of the job in selecting his companies properly, an investor had made the small extra effort needed to understand a few simple principles about the timing of growth stocks.

In other words, if the right stocks are bought and held long enough they will always produce some profit. Usually they will produce a handsome profit. However, to produce close to the maximum profit, the kind of spectacular profit defined earlier, some consideration must be given to timing.

The conventional method of timing when to buy stocks is, I believe, just as silly as it appears on the surface to be sensible. This method is to marshal a vast mass of economic data. From these data conclusions are reached as to the near- and medium-term course of general business. More sophisticated investors will usually form opinions about the future course of money rates as well as business activity. Then, if their forecasts for all these matters indicate no major worsening of background conditions, the conclusion is that the desired stock may be bought. It sometimes appears that dark clouds are forming on the horizon. Then those who use this generally